

SUPREME COURT OF PAKISTAN
(Civil Appellate Jurisdiction)

Present:

JUSTICE AAMER FAROOQ
JUSTICE ALI BAQAR NAJAFI

CIVIL PETITION NO.2735-L/2015

*(Against judgment dated 16.09.2015, passed by the Lahore High Court,
Lahore in W.P. No.5817/2015)*

The Province of Punjab through its Chief
Secretary, Government of the Punjab,
Lahore and others

...**Petitioner(s)**

Versus

T&T Employees Ideal Cooperative
Housing Society Limited and another

...**Respondent(s)**

For the Petitioner(s) : Mr. Awais Ahmed Qazi, Addl. A.G.,
Punjab

For the Respondent(s) : Mr. Waqar A. Sheikh, ASC a/w Syed
Fawad Shah, Sr. Law Officer and Rai
Mudassar Nawaz, Law Officer,
(for respondent No.1)

Date of Hearing : 25.04.2025

JUDGMENT

AAMER FAROOQ, J.- This judgment arises out of a petition for leave to appeal filed by the Government of Punjab against the judgment dated 16.09.2015, passed by the Lahore High Court, wherein the learned High Court allowed the writ petition filed by T&T Employees Ideal Cooperative Housing Society Limited (“**the Society**”) and held that the Chief Minister of Punjab did not possess the requisite legal authority to initiate or order an inquiry into the affairs of the said society.

1. INTRODUCTION

The present matter invites adjudication on a significant question of administrative law concerning the distribution of power between statutory frameworks and executive rules of governance. The crux of the dispute lies in determining, whether the Chief Minister Punjab under Clause 5 of the Punjab Government Rules of Business, 2011 (**the Rules**), is vested with

the authority to direct inquiry into the affairs of a cooperative society operating under the Cooperative Societies Act, 1925 (**the Act**). The learned High Court, while adjudicating W.P. No.5817-2015, accepted the plea of the Society by concluding that the Chief Minister's Office lacked such authority due to the comprehensive mechanism prescribed under the Act. Aggrieved by this pronouncement, Government of the Punjab invoked jurisdiction of this Court under Article 185(3) of the Constitution of the Islamic Republic of Pakistan, 1973 (**the Constitution**).

2. FACTUAL BACKGROUND

The complaint(s) were received by the petitioners with respect to the affairs of the Society qua financial mismanagement and administrative irregularities. Acting on the complaint(s), the Chief Minister Punjab directed his Inspection Team to enquire into the affairs of the Society seeking relevant record and furnish preliminary findings. The Society challenged the inquiry before Lahore High Court, Lahore by invoking provisions of Article 199 of the Constitution that the Chief Minister's Office had no jurisdiction to order such inquiry due to the specialized legal regime established under the Act. Learned High Court concurred with the Society's contention and quashed the inquiry proceedings initiated under the Chief Minister's directive. The Government of the Punjab, asserting the legal competence of the Chief Minister under Clause 5 of the Rules, approached this Court seeking leave to appeal through the present petition.

3. SUBMISSIONS BY THE PARTIES

At the very outset, learned counsel for respondent No.1 objected to the maintainability of the instant petition in light of

the fact that Intra-Court Appeal (ICA) is pending before the High Court.

Learned Additional Advocate General, Punjab on instructions, submitted that the referred ICA has been dismissed on 07.07.2023. It was submitted that even otherwise mere fact that appeal was filed, does not make the instant petition incompetent. On merits, learned Additional Advocate General, Punjab submitted that in light of Clause 5 of the Punjab Government Rules of Business, 2011 (**the Rules**), the Chief Minister may call for any case or information from any department, attached department or regional office. It was further submitted that similarly, under Clause 17 of the Rules, Chief Minister's Inspection Team is directly responsible to the Chief Minister and conducts business under his/her orders. Learned Advocate General pointed out that since the Rules have been framed under the Constitution, they are statutory.

Learned counsel for the respondents *inter alia* contended that under the Co-operative Societies Act, 1925, a mechanism has been provided, whereby the cooperative hierarchy is to supervise the affairs of any cooperative society. It was submitted that the Secretary, Cooperative Societies is the overall in-charge and in his presence, Chief Minister or his/her Inspection Team has no power/authority to inspect or inquire into the affairs of the respondent Society. Learned counsel took the Court through the provisions of the Rules to substantiate that only the concerned department or attached department has the authority to probe into the affairs of the concerned department.

4. **LEGAL ISSUES**

The core legal issue requiring adjudication is whether Clause 5 of the Rules empowers the Chief Minister of the Punjab to initiate or order an inquiry into the affairs of a Cooperative Society registered under the Act notwithstanding the specialized mechanism provided under the said Act.

5. **ANALYSIS AND DISCUSSION**

A. Statutory Framework under the Cooperative Societies Act, 1925

The Cooperative Societies Act, 1925 is a special enactment designed to regulate the formation, operation and supervision of Cooperative Societies in Pakistan. It vests with supervisory and regulatory powers in the Registrar of the Cooperative Societies and the Provincial Government. Section 43 of the Act empowers the Registrar, either on his own motion, or upon the complaint to hold inquiries into the working of a Society. It is well settled principle of statutory interpretation that where subject statute provides a complete code and procedure for redressal of grievance then it takes precedence over general or executive provision.

B. Nature and Scope of Clause 5 of the Rules

“5. Functions of the Chief Minister. -(1) *The chief Minister shall: -*

- (a) *be the head of the cabinet;*
- (b) *coordinate all policy matters;*
- (c) *perform functions assigned to him under the Constitution, any law or rules, including these rules;*
- (d) *keep the Governor informed on matters relating to Provincial administration and on all legislative proposals the Government intends to bring before the Assembly as required under Article 131 of the Constitution;*
- (e) *communicate to the Governor the decisions of the Cabinet relating to the administration of the province and proposals for legislation; and*
- (f) *submit for the reconsideration by the Cabinet any matter which the Governor requires to be so reconsidered in terms of Article 105 of the Constitution.*

(2) The Chief Minister may call for any case or information from any Department, Attached Department or Regional Office.”

Punjab Government Rules of Business, 2011 are administrative instrument framed by the Government of Punjab (provincial government) under Article 139(3) of the Constitution to regulate the internal governance or distribution of work within the provincial government. The concept and working of the provincial government are provided in Article 129 of the Constitution. Under sub-article 1 of article 129, subject to the Constitution the executive authority of the Province shall be exercised in the name of the Governor by the Provincial Government, consisting of the Chief Minister and Provincial Ministers, which shall act through the Chief Minister. The Rules do not and cannot override or confer statutory powers not granted by an Act of the Parliament or the Provincial Assembly, however, they serve to formulate exercise of the executive authority and oversight. The bare reading of clause 5 sub-clause (2) shows that Chief Minister may call for any case or information from any Department, Attached Department or Regional Office. In this regard, complaint made to the Chief Minister’s Inspection Team or the Chief Minister for probing into the affairs of the Society, falls within the sphere of Cooperative Laws, wherein the Secretary Cooperative Societies is the overall in-charge. The question, thus arises, whether Clause 5 can be interpreted to allow the Chief Minister to intervene in the matter governed exclusively by the Act. The Chief Minister is not a statutory functionary under the Act. Clause 5 permits Chief Minister to call for record and issue directions to Government Departments. This function is administrative in nature and does not amount to statutory intervention.

C. Harmonious Construction

The fundamental principle of statutory interpretation is that apparent conflict between general and special law should be resolved through harmonious construction. The Act governs the substantive regulatory framework of cooperative societies, including inquiry procedure, appointment of officials and remedial action. The Chief Minister's power under Clause 5 must be construed in light of and subject to this regulatory scheme.

Moreover, while the Chief Minister may call for information or record for the purposes of oversight, policy evaluation or political accountability any formal inquiry into the affairs of cooperative society must conform to the procedural and substantive requirements of the Act. The inquiry cannot usurp the functions of the Registrar or the authorities empowered under the Act.

D. Evaluation of Judgment of Lahore High Court

The learned High Court, in its judgment, adopted the rigid interpretation effectively excluding the Chief Minister from any oversight or administrative enactment in matters pertaining to cooperative societies. Such reading unduly narrows the scope of Clause 5 ibid ignoring the administrative place of Chief Minister as the executive head of a province and fails to differentiate between executive oversight and statutory functionaries. While learned High Court correctly identified the supremacy of the Act in terms of substantive regulation, it erred in concluding that Chief Minister had absolutely no authority to order or initiate an inquiry or call for information even through competent Department. The Constitutional and administrative role of the Chief Minister must be given its due effect. In light of the referred

position, judgment of the learned High Court is not sustainable, as it has construed Clause 5 ibid in a restricted manner and has made the referred power of the Chief Minister dormant wherever there is statutory regulatory scheme work.

6. CONCLUSION AND ORDER

For the foregoing reasons, we hold that the Chief Minister of the Punjab is not excluded from calling information or record pertaining to the cooperative societies or any provincial department or attached department under Clause 5 of the Rules, however, any formal action, if any, against the society or the department must be strictly in accordance with statutory regulatory mechanism by the competent authorities designated there-under. We are satisfied that the instant petition raises the substantive question of law of public importance relating to the interpretation of constitutional and statutory provisions, hence leave to appeal is granted and instant petition is converted into appeal which is accordingly allowed and the impugned judgment dated 16.09.2015 passed by Lahore High Court, Lahore is set aside; consequently, writ petition filed by the Society, stands dismissed. No order as to costs.

Judge

Judge

Lahore, the
25th April, 2025
Approved for Reporting
Zawar